NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, COURT-II, CHANDIGARH

CP(CAA)No.2/Chd/Hry/2025
(Second Motion)

(Application under Sections 230 & 232 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, and the National Company Law Tribunal Rules, 2016)

IN THE MATTER OF ARRANGEMENT BETWEEN:
Tex Corp Private Limited
Through its authorised representative
having its registered office at: : Mohammadpur Khandsa Road,
Gurgaon, Haryana
PAN: AABCT4364L
CIN: U36100HR1982PTC014609

.....Demerged Company/Petitioner Company No.1

AND

Tex Fasteners Private Limited
having its registered office at : Mohammadpur Khandsa Road,
Gurgaon, Haryana
PAN- AAKCT5394B
CIN: U14101HR2023PTC116244

.....Resulting Company/Petitioner Company No. 2

Order delivered on: 17.10.2025

CORAM: KHETRABASI BISWAL, MEMBER (JUDICIAL)
: KAUSHALENDRA KUMAR SINGH, MEMBER (TECHNICAL)

Present: -

For the Petitioner	: Mr. Satwinder Singh, Mr. Lokesh Dhyani, Advocates & Mr. G. S. Sarin, PCS
For the Income Tax Department	: Mr. Varun Issar, Senior Standing Counsel
For the RoC	: Mr. Krishan Paul Dutt, AROC

ORDER

1. This is a joint Second Motion Petition filed by Petitioner Companies namely; **Tex Corp Private Limited,** (hereinafter referred as Petitioner Company No.1/Demerged Company) and **Tex Fasteners Pvt. Ltd.** (hereinafter referred as Petitioner Company No.2/Resulting Company) under Sections 230 to 232 of the Companies Act, 2013 (hereinafter referred to as the 'Act') and other applicable provisions of the Act read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (the 'Rules'), seeking sanction of the Scheme of Arrangement (hereinafter referred as "**Scheme**") between the Petitioner Companies and their respective shareholders under Sections 230-232 of the Act. The copy of the Scheme is annexed as Annexure A to the Application.

2. The First Motion Application was disposed of vide order dated 02.07.2024, with directions to convene the meetings of secured and unsecured creditors of the Petitioner Company No.1 and to dispense with the meetings of equity shareholders and preference shareholders of both Petitioner Company, and secured creditors and unsecured creditors of the Petitioner Company No.2 for the reasons recorded in the aforesaid order. In compliance with the directions issued by this Tribunal, meetings of secured creditors and unsecured creditors of the Demerged Company were convened on 21.12.2024.

3. The Compliance Affidavit was filed by Petitioner Companies wherein, the meeting as per order dated 02.07.2024 was convened and as per Chairperson's Reports, the resolution approving the scheme has been approved and passed by

100% in case of secured creditors and 99.99% in case of the unsecured creditors of Petitioner Company No.1.

4. The main objectives, date of incorporation, authorized and paid-up share capital, and the rationale of the Composite Scheme have been discussed in detail in the first motion order dated 02.07.2024.

5. The Composite Scheme of Arrangement provides for;

(i) creation of a separate and distinct entity for the Demerged Undertaking would lead to greater operational and administrative efficiency for the Demerged Company and would also allow the Resulting Company to manage the Demerged Undertaking more efficiently;

(ii) enabling the business and the activities·10 be pursued and carried on with greater focus and attention through two separate parallel companies with separate administrative set up of each of them in place.

(iii) The restructuring under this Scheme would enable a focused business approach for maximization of benefits to all stakeholders and capitalize on the opportunity for growth.

6. The Board of Directors of the Petitioner Companies, at their respective board meetings held on February 16, 2024, have considered and unanimously approved the proposed Scheme subject to the approval of the creditors and the sanctioning of the same by the Adjudicating Authority. The certified true copy of the Board Resolution approving the scheme of the Petitioner Companies is attached as Annexure-G to the Application.

7. Further, in compliance to this Tribunal's order dated 22.01.2025 an Affidavit evidencing publication of notice of hearing of the Application in the newspapers and service of notice of Petition on the Statutory Authorities was filed. The notice of hearing was published in the newspapers namely, "Business Standard" (Delhi/NCR and Haryana/Chandigarh Edition) in English and Jansatta in Hindi (Delhi/NCR and« Haryana/Chandigarh Edition). The original copies of the newspapers are attached as Annexure-D of the aforesaid affidavit. The authorised representative of the Petitioner Companies stated that no objection has been received against the Composite Scheme of Arrangement.

8. It has also been stated in the Affidavit that copies of notices were served upon; (a) Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, (b) the Registrar of Companies, National Capital Territory of Delhi and Haryana(c) Concerned Income Tax Authorities having jurisdiction on the Petitioner Companies.

9. A true copy of the abovementioned postal receipts of the speed post along with tracking report is annexed herewith and marked as Annexure-C to the above stated Affidavit.

10. In compliance of order dated 22.02.2025 an Affidavit by the authorized signatory of both the Petitioner Companies were filed stating that the Petitioner Companies are not required to be registered with Real Estate Regulatory Authority under Real Estate (Regulation and Development) Act, 2016.

11. In response to the abovementioned notices, the statutory authorities have furnished their Reports:

10.1 **Regional Director (RD) and Registrar of Companies (ROC)**

The report of the Regional Director (hereinafter referred as "RD") along with the report of Registrar of Companies (hereinafter referred as "RoC") was filed wherein, certain observations were made, and the petitioner company has submitted their response, which are detailed below;

S. No.	***Observation by RD/RoC***	***Reply by Petitioner Companies***
1	*As per the Annual Return filed by Demerger Company and Resulting company, there are Shareholders, who are holding more than 10% of shares. However, the Demerger Company has not filed e-form BEN-2.*	*As per Rule 2(1)(h) of the Companies (Significant Beneficial Owners) Rules, 2018, a person is considered a Significant Beneficial Owner (SBO) only if he or she holds, directly or indirectly, at least ten percent of the shares, voting rights, or distributable dividend in the company. It was clarified that in the case of the Demerged Company, only 1.60% of the paid-up share capital is held by M/s Anvi Management Consultants Private Limited, and no individual holds a majority stake in that entity. Therefore, no individual can be construed to have any indirect shareholding in the Demerged Company. The Petitioner Companies further submitted that the shares of the Resulting Company are held entirely by individuals and not by any body corporate. Accordingly, the provisions of Section 90 of the Act and the related rules concerning significant beneficial ownership are not applicable to either the Demerged Company or the Resulting Company.*
2	*As per Independent Auditor Report for the financial year 2023-24, transferor company naming Tex Corp Private Limited has pending litigation, which mentioned in its financial statement vide note 35.*	*The Petitioner Companies submitted that Note No.35 of the financial statements of the Demerged Company for the financial year ended March 31, 2024, merely discloses contingent liabilities arising from pending litigations related to the Demerged Undertaking, without any adverse remark by the auditor. It was clarified that, in accordance with Clause 8 of the Scheme, all such liabilities, including contingent liabilities, shall upon the effectiveness of the Scheme, stand transferred to and become*

		the liabilities of the Resulting Company. Further, as provided under Clause 11 of the Scheme, all pending suits, actions, and proceedings pertaining to the Demerged Undertaking shall continue in the name of the Resulting Company. The Resulting Company has accordingly undertaken to pay and settle all such contingent liabilities as may be determined by the concerned authorities or courts.
3	*It is to mention that the date of appointment of the scheme is 01.04.2023, which is more than one year.*	*It is submitted that the Appointed date of the Scheme is April 01, 2023, whereas the Company Application was filed by the Petitioner Companies on March 31, 2024, meaning thereby the proposed appointed date is not more than one year prior to the date of filing of the Company Application.*
4	*As per Independent Auditor Report for the financial year 2023-24, transferor company naming Tex Corp Private Limited has statutory undisputed dues of MSME and income tax department for more than six months, which has been mentioned in Auditor Report at point No (VII)(a).*	*It is submitted that the statutory dues mentioned in the Auditor's Report pertain to MSME creditors and income tax liabilities related to the Demerged Undertaking. It was clarified that, as per Clause 8 of the Scheme, all such liabilities, including interest payable to MSME creditors, shall upon the effectiveness of the Scheme stand transferred to and become the liabilities of the Resulting Company. The Demerged Company is already paying the MSME interest in the normal course of business, and no dispute is pending under the MSMED Act. With respect to income tax dues, it was confirmed through a screenshot of the Income Tax e-portal that no outstanding demand exists as on the date of filing the rejoinder. The Resulting Company has further undertaken to honour all such liabilities as and when they become due for payment.*
5	*As per Independent Auditor Report for the financial year 2023-24, transferor company naming Tex Corp Private Limited has statutory disputed dues of Rs. 8.7 Lakhs pertaining to Labour Law, it is*	*It is submitted that, as per paragraph VII(b) of Annexure-A to the Auditor's Report for the financial year ended March 31, 2024, certain statutory dues relating to labour disputes amounting to 8.70 lakhs were pending against the Demerged Company, out of which disputes amounting to 3.70 lakhs have already been settled during the financial year 2024–25. Proof of such*

	mentioned in the auditor report at point No (VII)(b).	*payments made in full and final settlement has been enclosed as Annexure-D. With respect to the remaining litigations, it is submitted that these pertain to the Demerged Undertaking and, in accordance with Clause 11 of the Scheme, shall upon the Scheme becoming effective, stand transferred to and continue in the name of the Resulting Company.*
6	*As per Independent Auditor Report for the financial year 2023-24, on the examination of the financial statement of the transferor company, auditor believed that " any material uncertainty exists as on the date of the audit report indicating that company may not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year" vide point No. (XIX) .*	*It is submitted that, as per point XIX of the Auditor's Report, based on the financial ratios, ageing analysis, and management representations, no material uncertainty exists indicating that the Demerged Company would be unable to meet its liabilities as and when they fall due within one year from the balance sheet date. The auditor has not observed any adverse changes in the Company's financial position. Furthermore, in accordance with Clause 8 of the Scheme, all liabilities of the Demerged Company pertaining to the Demerged Undertaking shall stand transferred to the Resulting Company, which hereby undertakes to honour such liabilities as and when they become due for payment.*
7.	*As per scheme, "9% no-cumulative Optionally Convertible Redeemable preference shares" or "OCRPS" means the preference shares to be issued by the resulting company to the shareholders of the Demerged Company on the terms and conditions stated in ScheduleB of the Scheme. The resulting company should undertake for compliance of Section 55 of the Companies, Act, 2013*	*It is submitted that, in accordance with Clause 18 of the Scheme, upon its effectiveness, the Resulting Company shall issue one 9% non-cumulative optionally convertible redeemable preference share for every one equity share held by the shareholders of the Demerged Company. As per Clause 18.6 of the Scheme, the approval of the shareholders and creditors of the Petitioner Companies shall be deemed approval under Sections 55 and 62 of the Companies Act, 2013. In view of the settled legal position that a scheme sanctioned under Section 230 of the Companies Act, 2013 operates as a complete code providing single-window clearance for all related approvals, the Resulting Company is not required to follow separate procedures prescribed under the said sections. Further, Clause 8 of the Articles of Association of the*

		Resulting Company authorizes the issuance of preference shares. Accordingly, while no separate approval process is required, the Resulting Company undertakes to comply with all necessary reporting requirements to give effect to the issuance of preference shares under the Scheme.

10.2 **Income Tax Department:**

The Income Tax department (hereinafter referred as "ITD") has filed its report wherein the ITD has not made any adverse remarks or objections to the composite Scheme of Arrangement.

12. In compliance with the Tribunal's order dated 21.03.2025 the Petitioner Companies filed a Compliance Affidavit to amend the prayer by way of deleting Paragraph 44(F) of the Application and the Petitioner Companies have inadvertently sought prayer for dissolution of the Demerged Company however, the Company survives and therefore, the Company cannot be dissolved.

13. During the course of the proceedings the Tribunal vide order dated 24.07.2025 observed as under;

> *"It is noted that the assets being transferred from the Demerged Company include plant and machinery, long-term advances, receivables, etc. However, the transfer of assets does not include the corresponding land and buildings in which these plants and machineries are installed. When, we inquired as to what are the two undertakings within this Company, the Ld. Counsel submits that, following the transfer of the assets identified and listed in Annexure A, to the Scheme, the remaining land and buildings will constitute the second division or rather the remaining undertaking/division which is intended to be let out to earn rental income. In this context, we require the Petitioner Companies to clarify as to how the proposed transfer of assets from Petitioner Company No. I to Petitioner Company No.2 can be considered as transfer of an undertaking/division between them as prima facie the proposed scheme appears to be nothing but the transfer of the part of the Assets & Liabilities, and not an undertaking/division from One*

Applicant Company to other Applicant Company; and as such immunity from payment of capital gain under the Income Tax Act may not be available to such transfer."

12.1 In response to the observations made by the Tribunal, the Petitioner Companies submitted a Compliance Affidavit stating that the Scheme fully complies with the applicable provisions of the Act and the Income Tax Act, 1961. They further clarified that the undertaking proposed to be demerged represents a distinct and independently functioning business unit with its own identifiable assets, liabilities, and operational structure, capable of continuing business activities on a going concern basis. The PetitionerCompanies further confirmed that all necessary approvals and consents from shareholders and creditors had been duly obtained, and that the Scheme has been framed in a fair and transparent manner without causing any prejudice to the interests of the public, creditors, or any statutory authority. They also affirmed their commitment to comply with all statutory obligations and assured that the implementation of the Scheme would not affect any ongoing or future proceedings concerning tax or other legal liabilities of either company.

14. The certificate of the Statutory Auditors with respect to the Scheme between the Applicant Companies to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Indian Accounting Standards (Ind AS) as specified in Section 133 of the Act, read with Rules thereunder and other Generally Accepted Accounting Principles annexed as Annexure-H and I to the Application.

15. We have heard the learned Counsel for the Applicant Companies and have gone through the material available on record carefully. We note that the observation of RD/RoC do not have any impediments in sanctioning the Scheme.

16. On the basis of the facts and submissions made by the learned counsel and on perusal of the Scheme, it appears that the requirements of the provisions of section 230 and 232 are satisfied by the Applicant Company. We are of the considered view that the proposed Scheme is bona fide and in the interest of the shareholders and creditors and accordingly approved.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Company.

18. While approving the Scheme, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including Income Tax, GST, etc., or any other charges if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

19. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme ultimately results in tax avoidance or is not in accordance with the applicable provisions of the Income Tax Act, then the Income Tax Department

shall be at liberty to initiate appropriate course of action in accordance with the law. Any sanction of the Scheme under section 230-232 of the Companies Act, 2013 shall not adversely affect the rights of the Income Tax Department or any past, present or future proceedings and the sanction of the Scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

20. Accordingly, this Tribunal orders as under :-

(i) the composite Scheme of Arrangement between ***Tex Corp Private Limited*** *and* ***Tex Fasteners Private Limited*** *and their respective shareholders and creditors which is annexed as "Annexure-A" to the Company Petition bearing CP(CAA)No.2/Chd/Hry/2025 is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their shareholders and creditors and all concerned under the scheme.*

(ii) all the property, rights and powers of the Demerged Company pertaining to the Demerged Undertaking be transferred, without further act or deed, to the Resulting Companies and accordingly, the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and vested in the Resulting Companies for all the estate and interest of the Demerged Company pertaining to the Demerged Undertaking but subject nevertheless to all charges now affecting the same;

(iii) all the liabilities and duties of the Demerged Company pertaining to the Demerged Undertaking be transferred, without further act or deed, to

the Resulting Companies and accordingly, the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Companies;

(iv) all contracts of the Demerged Company pertaining to the Demerged Undertakings which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Resulting Companies and be in full force and effect in favour of the Resulting Companies and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company pertaining to the Demerged Undertaking, the Resulting Companies had been a party or beneficiary or obliged thereto;

(v) all the employees of the Demerged Company pertaining to the Demerged Undertaking shall be deemed to have become the employees and the staff of the Resulting Companies with effect from the Appointed Date, and shall stand transferred to the Resulting Companies without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Demerged Company pertaining to the Demerged Undertaking, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vi) the Appointed Date for the Scheme shall be 01.04.2024, *as specified in the Scheme;*

(vii) the Resulting Companies shall, without further application, allot to the existing members of the Demerged Company shares of the Resulting Companies to which they are entitled under the said Scheme;

(viii) the Petitioner Companies will furnish a self certified copy of the approved Scheme and Schedule of Assets of the Demerged Undertaking to the Designated Registrar of this Tribunal. The Designated Registrar will issue a certified copy of this order together with the authenticated copy of the approved Scheme and Schedule of Assets as its enclosures. All the Authorities are directed to act on the certified copy of this order as issued by the Designated Registrar.

(ix) the Petitioner Company/Resulting Company is directed to file the certified copy of this Order along with the copy of Scheme and Schedule of Assets with the concerned Registrar of Companies, electronically along with e-form INC-28 in addition to a physical copy in e-form INC-28 within 30 days or an extended timeline with payment of additional fees, as may be applicable, from the date of receipt of the Order. Following that, the necessary steps shall be taken up by the Registrar of Companies.

(x) the Petitioner Companies/ Resulting Companies is directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the Applicant Companies/ Resulting Companies, duly authenticated by the Designated Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xiii) any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

21. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme, duly authenticated by the Designated Registrar of this Bench.

22. The Company Petition **CP(CAA) No.2/Chd/Hry/2025** is allowed and disposed of accordingly.

Sd/-

Kaushalendra Kumar Singh
Member (Technical)

Sd/-

Khetrabasi Biswal
Member (Judicial)

Jashan